CHAPTER 7

FORMATION OF A COMPANY

CHAPTER ESSENCE AT A GLANCE:
Master the sequential legal stages of corporate formation: Promotion and promoters' duties, Incorporation and Certificate of Incorporation, Capital Subscription, and key foundational documents.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Promotion Stage Mechanics:** The promoter conceives the business idea, investigates feasibility (technical, financial, economic), gathers resources, and enters into preliminary pre-incorporation contracts.

• **Incorporation and Certificate of Incorporation:** Filing foundational statutory documents with the Registrar of Companies (ROC); issuance of Certificate of Incorporation creates the company as a legal corporate entity.

• **Foundational Corporate Charters:** Memorandum of Association (MOA) defines external corporate powers and constitution; Articles of Association (AOA) governs internal management bylaws.

• **Capital Subscription and Minimum Subscription:** Public company issuing shares must achieve Minimum Subscription (90 percent of issued amount under SEBI guidelines) within 30 days before allotting shares.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Corporate Formation Pipeline} = \text{Promotion} \rightarrow \text{Incorporation} \rightarrow \text{Capital Subscription}$$

Sequential Company Establishment Process

$$\text{SEBI Minimum Subscription} \geq 90\% \text{ of Total Issued Capital}$$

Statutory Allotment Feasibility Boundary

$$\text{Corporate Charter Hierarchy} = \text{Companies Act 2013} > \text{Memorandum (MOA)} > \text{Articles (AOA)}$$

Constitutional Precedence of Corporate Laws

$$\text{Doctrine of Ultra Vires} \iff \text{Acts Beyond MOA Scope} \rightarrow \text{Wholly Void and Ineffective}$$

Legal Boundary of Corporate Power

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** A private company can commence business immediately upon receiving the Certificate of Incorporation; it does not need a separate capital subscription process from the public.

• **Alert:** Memorandum of Association cannot be modified easily; any act done by the company beyond the powers granted in MOA is Ultra Vires and completely void.

• **Alert:** If the minimum subscription of 90 percent is not received within the statutory window, all application money must be refunded to applicants immediately without interest within 15 days.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Who is a Promoter? State any two primary functions of a promoter. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A person or syndicate who conceives the idea of forming a company, investigates its feasibility, and takes all necessary steps to incorporate it. **[1 Mark]**

• **Functions:** (1) Conducting feasibility studies (technical, financial, and commercial), (2) Preparing preliminary documents and selecting provisional directors. **[1 Mark]**

2. What is the Certificate of Incorporation? Why is it described as the birth certificate of a company? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A statutory certificate issued by the Registrar of Companies (ROC) certifying that the company is legally registered under the Companies Act. **[1 Mark]**

• **Birth Certificate Significance:** It brings the company into legal existence as an artificial person with perpetual succession from the date inscribed on it. **[1 Mark]**

3. Distinguish between the Memorandum of Association (MOA) and the Articles of Association (AOA) across three parameters. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Nature:** MOA is the supreme charter defining the external scope and objectives; AOA contains internal rules and operational bylaws. **[1 Mark]**

• **Relationship:** MOA defines the relationship between the company and the outside world; AOA defines the relationship between company and its members. **[1 Mark]**

• **Validity of Ultra Vires Acts:** Acts ultra vires the MOA are wholly void and cannot be ratified; acts ultra vires the AOA can be ratified by a special resolution. **[1 Mark]**

4. Enumerate the six essential clauses contained in the Memorandum of Association. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Clauses 1, 2, 3:** (1) Name Clause (registered corporate name), (2) Registered Office Clause (state of jurisdiction), (3) Object Clause (primary and ancillary business powers). **[1.5 Marks]**

• **Clauses 4, 5, 6:** (4) Liability Clause (limited liability of members), (5) Capital Clause (authorized share capital amount), (6) Association or Subscription Clause (promoter sign-off). **[1.5 Marks]**

5. Explain the Doctrine of Ultra Vires with respect to the Memorandum of Association. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Meaning:** 'Ultra Vires' literally means beyond the legal powers. **[1 Mark]**

• **Legal Consequence:** Any contract or action executed by company directors that exceeds the authorized scope defined in the Object Clause of MOA is ultra vires. **[1 Mark]**

• **Nullity:** Such acts are fundamentally void and cannot be made valid even if all shareholders unanimously vote to ratify them. **[1 Mark]**

6. What is Minimum Subscription under SEBI regulations? State the legal consequence of failing to achieve it. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Threshold:** A public company must receive at least 90 percent of the total issued share capital as applications before proceeding to allot shares. **[1.5 Marks]**

• **Consequence of Failure:** If 90 percent is not received within 30 days from the issue date, the entire application money received must be refunded to applicants within 15 days, failing which interest at 15 percent per annum is payable. **[1.5 Marks]**

7. Explain the sequential steps involved in the Capital Subscription stage of a Public Company. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **SEBI Approval and Prospectus Filing:** Obtaining clearance from Securities and Exchange Board of India (SEBI) and filing a copy of the Prospectus with ROC. **[1 Mark]**

• **Appointment of Intermediaries:** Appointing commercial bankers to the issue, brokers, registrars, and underwriters to ensure market subscription. **[1 Mark]**

• **Stock Exchange Listing Application:** Applying for permission to deal in shares on at least one recognized stock exchange. **[1 Mark]**

• **Allotment of Shares:** Achieving minimum 90 percent subscription and passing board resolutions to issue letters of allotment to applicants. **[1 Mark]**